UNSW THE UNIVERSITY OF NEW SOUTH WALES SYDNEY · CANBERRA · AUSTRALIA | Law

2026 – LAWS1150 | JURD7150
Principles of Private Law

Class 2A

Consideration: part 1

A. The elements of consideration?
   - Detriment + benefit
   - Must flow between the parties in both directions

B. How much is enough?

C. Past consideration

D. Performance of an existing legal duty

What is valuable consideration?

Currie v Misa (1875) LR 10 Ex 153, 162 (Lush J)

- *A valuable consideration, in the sense of the law, may consist in some right, interest, profit, or benefit accruing to the one party, or some forbearance, detriment, loss, or responsibility, given, suffered, or undertaken by the other*

Elements of consideration

Australian Woollen Mills Pty Ltd v Commonwealth (1954) 92 CLR 424

1946: post WWII wool was scarce - Commonwealth introduced a wool subsidy scheme to encourage manufacturers to make cheap woollen products

1946-48: Australian Woollen Mills Pty Ltd (AWM) purchased wool

June 1948: C'th finished scheme. Would pay for some of stockpiled wool, but not all.

AWM had more stockpiled than C'th would pay subsidies for.

C'th required repayment of the excess subsidy

AWM argued unilateral contract.

AWM v Commonwealth

The court (Dixon CJ, Williams, Webb, Fullager, Kitto JJ):

In cases of this class, it is necessary … that the statement or announcement which is relied on as a promise was really offered as consideration for the doing of the act and that the act was really done in consideration of a promise.

There must be a relation of quid pro quo – ie: a necessary connection between the announcement and the act.



AWM v Commonwealth



HCA held:

It is impossible, in our opinion, to hold that any contract was constituted at any stage binding the C'th to pay a subsidy to the plaintiff, or to any manufacturer, in consideration of the purchase of wool for local manufacture

Australian Woollen Mills Pty Ltd

- AWM appealed to the Privy Council

PC held:

- No contracts existed
- The "scheme" was administrative
- Letters contained statements of policy, not contractual offers
- The presence of a request does not in itself establish a contract

- What is the "bargain" or "Quid Pro Quo" requirement?

- How does "bargain" differentiate from conditional gift?

Bargains or Conditional Gifts

Australian Woollen Mills Pty Ltd v Commonwealth

Example 1 – No request

- A said to B: "I will pay you £1000 on your arrival in Sydney": no contract as there may be no relation whatever between A's statements and B's act. It is consistent with the facts proved that B intended to go to Sydney anyhow, and that A is merely announcing that, if and when B arrives in Sydney, he will make a GIFT to him.
- The necessary relation is not shown to exist between the announcement and the act

Example 2 – Additional facts

- A had told B, before the mentioning of the money, that it was a matter of vital important to A that B should come to Sydney; B objected that to go to Sydney at the moment might involve him in financial loss. B goes to Sydney because of the money offered.
- This suggests:
- (1) the statement to pay the money was intended as an offer of a promise;
- (2) the promise was offered as the consideration for the doing of the act by B;
- (3) the doing of the act was at once the acceptance of the offer and the providing of an executed consideration for a promise

Bargain or conditional gift?

- Has there been a request to be found in the promise to pay $ if you come to Sydney?

- ie: did the promise induce the doing of the act or not?

Bargain or detrimental reliance?

I say to you:

Next year you can have my bike.

In anticipation of the bike becoming yours, you spend $2000 getting the bike services, buying new brakes, tyres and seat.

Next year I change my mind.

What is this?



Elements of consideration

Beaton v McDivitt (1987) 13 NSWLR 162

- Did the court apply the principle developed in *AWM v Cth*?
- What is the key difference in the judgment of Kirby P and McHugh JA?
- To what extent 'bargain' differentiates from 'detrimental reliance'?
- Why did McHugh J hold there was no frustration of contract ?

Beaton v McDivitt

Facts:

- McDivitts (respondents) owned 25 acres. Believed local council planned to rezone – council rates would increase – McD would not be able to afford rates – decided to subdivide into 4 lots – keep 3, let 4th to someone for permaculture – transfer when rezoned
- Beatons (appellant) moved to 4th block, farmed using permaculture
- 7 years on – dispute
- McD told B to leave

Held in Supreme Ct (Young J):

- Beatons had not given consideration sufficient to satisfy the bargain requirement of something given in exchange for the promise.
- But acknowledged *Dillwyn v Llewelyn* exception that Beaton's acts of reliance gave rise to a contract
- But that contact had been frustrated.

Beaton appealed to SCt CA (Kirby P, McHugh JA, Mahoney JA)

Beaton v McDivitt (appeal)

Kirby P:

- Without consideration, a promise is unenforceable at law.
- The expenditures and actions of [Beaton] are properly categorised as entirely for his own benefit.
  - ie – not as consideration
- Why should the law hold a party to the promise of a gift unless it can be demonstrated that, in return for the promise, the promisor receives some bargain from the promisee by way of a quid pro quo?
- Was Beaton's NYE promise to maintain the private road to the property sufficient quid pro quo to be consideration?
  - No.
- Beaton was a bare licensee, no enforceable contract, no equity to force a transfer

Beaton v McDivitt (appeal)

McHugh JA:

- Agrees with Young J's finding a contract existed
- Disagrees with its terms
- McDivitt made a promise he intended to be binding (offer)
- 3 possible scenarios:
  - A promise to transfer property subject to an event occurring – bare promise, not enforceable
  - Promise to transfer property, after which the promisee acts to his own detriment – outcome depends on facts and equity
  - Promise contains a request by promisor to do an act/ fulfil a condition – usually doing the act/performing the condition = consideration
- Frustration argument failed
- McD have contractual duty to do everything they can to provide B with benefit of the contract

Beaton v McDivitt (appeal)

Mahoney JA:

- There was a binding contract but no obligation on McD to pursue rezoning
- Focussed on the prospective rezoning as a condition subsequent
  - No time specified for rezoning
  - Rezoning was not a term of the contract
- Frustration to be tested by the circumstances
  - '*But what if the rezoning doesn't occur? In 1977 both McD and B would have answered – of course, then the land won't be transferred*'

Conclusion: Appeal dismissed

Adequacy of consideration

Woolworths Ltd v Kelly (1991) 22 NSWLR 189

- Why don't courts inquire into the adequacy of consideration?

- Kirby P identified 6 reasons why consideration does not have to be adequate in *Woolworths v Kelly*

- What are the 6 reasons?

Woolworths Ltd v Kelly

KIRBY P.

- This appeal requires the Court to enter once again what Dixon CJ described as the peculiar branch of the law concerned with the consideration necessary to sustain a legally enforceable contract.
- It also requires the Court to consider the degree of formality required on the part of a director of a company when disclosing to the board of directors a personal interest in a contract or proposed contract with the Company.

Woolworths Ltd v Kelly

KIRBY P.

- Sir Theo Kelly (the respondent) began work with Woolworths Ltd (the Company) in 1928 at the age of 21. He rose rapidly to a position of leadership. 1940 to 1971 he was CEO. 1971 to 1980, he was chairman.

- Following his retirement, a dispute arose concerning Kelly's entitlement to a pension.

"GOLDEN JUBILEE BONUS, PENSION AND DIRECTORS' FEES:

Woolworths Ltd v Kelly

- Kirby P and Samuels JA agree on the consideration point.
  - Aspects of the decision to pay a pension were supported by consideration – his consulting work post-retirement
  - The company could produce no Australian authority to support its attack on the varied pension scheme based upon the alleged mathematical inadequacy of the consideration offered by the respondent for it.
  - For the reasons which I have stated, I would not disturb the enforceability of the scheme on that basis. (Kirby P)

- Mahoney JA reached a different conclusion

Past consideration

Roscorla v Thomas (1842) 3 QB 234

- What is past consideration?
- Does past consideration constitute sufficient consideration?

Past consideration

- Not good consideration

- Eg: *Roscorla v Thomas*
- Horse is sound
- Why not good consideration?



In *Roscorla v Thomas*

Lord Denham CJ

The only promise that was coexistent with the consideration was to deliver the horse upon request

Offer →Acceptance …… → free from vice?

Pao On v Lau Yiu Long [1980] AC 615 Privy Council

Exception to past consideration rule

Lord Wilberforce, Viscount Dilhorne, Lord Simon of Glaisdale, Lord Salmon and Lord Scarman

Lord Scarman

- Act must have been done at the promisor's request
- Parties must have understood that the act was to be remunerated, and
- The payment [or benefit] must be [of a type that is] legally enforceable

Pao On v Lau Yiu Long

Case index catchwords

- CONTRACT — Consideration — Promise to perform existing duty — Sale to company — Allotment of company's shares as purchase price with condition that vendors defer sale of shares — Vendors seeking indemnity from third parties for possible loss on future sale of shares — Agreement to indemnify on threat of repudiation of contract with company — Whether valid and sufficient consideration for indemnity — Whether agreement contrary to public policy — Economic duress

- CONTRACT — Validity — Commercial pressure — Agreement to indemnify on threat of repudiation of contract with third party — Whether consideration for agreement — Whether agreement contrary to public policy — Whether economic duress vitiating consent

- CONTRACT — Hong Kong — Contract — Validity — Agreement to indemnify on threat of repudiation of contract with third party — Whether consideration for agreement — Whether agreement contrary to public policy — Whether economic duress vitiating consent

Pao On v Lau Yiu Long

Three questions call for decision by their Lordships' Board.

(1) Does the guarantee upon its proper construction state a valid consideration for the defendants' promise of indemnity?

(2) Does the extrinsic evidence as to the circumstances in which the guarantee was given establish the existence of a valid consideration additional to the consideration, if any, stated in the agreement?

(3) If there be consideration for the promise of indemnity, is the guarantee nevertheless unenforceable, the consent of the defendants having been induced by duress? Upon the third question there are concurrent findings of fact. It would have to be shown, therefore, that the judges below had misconceived the relevant law before the Board could reverse their unanimous rejection of the defendants' case based on economic duress.

•What are the core elements of consideration?

•What is the bargain requirement? How can you tell whether it is satisfied?

•Can a promise to do something constitute consideration?

•How do you distinguish between a contract and a conditional gift?
•Must consideration be of benefit to the other party?

•Do courts enquire into the adequacy of consideration? What is the rationale behind this? Are there any exceptions to the general rule?

•Under contract law, can detrimental reliance constitute consideration?

•What is a deed, and how are deeds relevant to this topic?

•What is the rule with respect to past consideration? Are there any exceptions to the general rule?

Question 1

- In a town in Northern NSW, several houses are destroyed by flooding. A local businesswoman announces that she will donate $10,000 towards the building costs of each person who decides to rebuild in the town. She stipulates that the 'benefit' is not available for people who rebuild elsewhere. The announcement is widely reported upon. A couple rebuild in the town and apply for the payment. Is there a contract?

Question Two

- A has an old computer sitting in his shed. B sees it and asks if she can have it. A says: 'That old thing? Sure'. B has it valued and finds it is worth $400 to $600 as a vintage relic. She offers to 'go halves' with A. A agrees. B sells the computer for $600. A and B have a falling out and B refuses to pay, saying 'you wouldn't have even known it was valuable except for me'.
  Advise A.